

A Brief history of Bitcoin

Before Bitcoin, various attempts had been made towards introducing a feasible digital currency. The key task of these early innovators was based around ascribing value to their new currency. The earliest of these online currencies were based around the gold standard and came in market after the IT-bubble had burst in the late 1990s.

Companies such as OS-Gold, Standard Reserve and INTGold came to existence between 1999 and 2004. But they didn't last very long due to their externalised dependency on necessary reserves that needed to be held as gold. However the people running these companies diverted the deposited funds leading to several million dollars worth of loss for the account holders.

Other companies such as e-gold and e-Bullion also faced investigation by the United States government with legal disputes still ongoing. Due to enforcement by US government agencies these companies had their assets frozen and seized leading to the discovery of criminal acts as well as fraud. Although not all cases have resulted in clear violation of law, it has effectively placed gold based digital currency in shutdown.

Another form of digital currency that caught the public interest prior to 2001 was Beenz. com's online currency called beenz. It was earned by individuals when they performed certain online activities and was then used as e-currency for purchasing services online. The marketing campaign was very successful and garnered nearly USD 100 million from venture

capitalists from the international market. However, the legality of operating an independent currency led to numerous conflicts with many nations across America and Europe.

Charges of operating an unlicensed bank plagued the company but were soon resolved. At its peak Beenz operated in 12 countries including US, Japan, China and Australia. The company couldn't survive as a currency due to its dependence on banks and airline points systems which suffered in post 9/11 America. The currency was integrated into their customer relationship management tool and phased out slowly.



The promise of e-gold and others was a short lived dream that quickly became a nightmare.